

Japan Daily Brief

Thursday, September 10, 2026

2,074 words · 8 min read

RE: BOJ rate hike near-certain Sept. 18 · Takaichi reshuffle Sept. 17 · JASDF scrambles day 5 · opposition splits

NIKKEI 225

65,270.95

▲ +0.38%

USD/JPY

154.05

▼ -1.03%

BRENT

\$101.73

▲ +5.66%

BOJ RATE

1.25%

○ TODAY AT A GLANCE

- 1 BOJ Policy Board member **Kazuyuki Masu** said in Fukui the Bank will keep raising its benchmark rate to cap price trends at 2%, with swap markets pricing a 97% probability of a 25bp hike at the September 18 meeting.
- 2 Chief Cabinet Secretary **Minoru Kihara** confirmed policy will be Prime Minister **Sanae Takaichi**'s yardstick for the September 17 cabinet reshuffle, with one Japan Innovation Party member expected to join the cabinet.
- 3 Japan's main opposition Centrist Reform Alliance formalized its split plan after merger talks failed, deepening the opposition's disunity ahead of the October 5 extraordinary Diet session.

○ TOP STORIES

ECONOMY-BOJ

BOJ board member Masu signals rate hike continuation; markets price 97% chance of September 18 move

BOJ Policy Board member **Kazuyuki Masu** said in a Fukui speech that the Bank will keep raising its benchmark rate to cap price trends at 2%, with swap contracts showing a roughly 97% probability of a hike at the end of the September 18 two-day meeting. A separate FT report noted hawkish BOJ comments following pressure from US Treasury Secretary **Scott Bessent** and volatility in currency and bond markets.

per The Japan Times: "BOJ will keep raising benchmark rate to cap price trend at 2%, board member says"

THE JAPAN TIMES

POLITICS-DIET

Kihara confirms policy as reshuffle yardstick; Sept. 17 cabinet overhaul set, JIP seat expected

Chief Cabinet Secretary **Minoru Kihara** confirmed that policy will be PM Takaichi's selection criterion for the September 17 cabinet reshuffle, and separately stated the LDP-Ishin coalition agreement requires no revision. Reports indicate Takaichi will add one Japan Innovation Party member to the cabinet, with an extraordinary Diet session targeted for October 5.

per Mainichi: "Policy to be Japan PM's yardstick in Cabinet reshuffle: top gov't spokesman"

MAINICHI

POLITICS-DIET

Japan's main opposition Centrist Reform Alliance formalizes split, deepening disunity

Japan's main opposition Centrist Reform Alliance formally agreed to divide along founding party lines after merger talks collapsed, with Mainichi reporting that the failure underscores how far Japan is from having an effective opposition bloc. The split reduces the opposition's leverage heading into the October 5 extraordinary Diet session.

per Mainichi: "Japan opposition faces renewed stigma of disunity after latest split"

MAINICHI

OVERNIGHT

- INDO-PACIFIC** Iceland to propose whaling ban, leaving Norway and Japan isolated — Iceland announced it will propose a commercial whaling ban at the International Whaling Commission, a move that would leave Japan and Norway as the only major holdouts. The proposal would increase diplomatic pressure on Tokyo's commercial whaling program. · Reuters
- TECHNOLOGY** Ransomware cases in Japan hit new high in first half of 2026 — A total of 123 ransomware attack cases were confirmed in Japan between January and June 2026, a new record for a half-year period according to National Police Agency data. The figure highlights persistent cybersecurity vulnerabilities across Japanese industry and government-linked entities. · The Japan Times
- DEFENSE** Japan to develop drone-based quantum sensors for submarine detection — Japan is developing drone-mounted quantum sensors capable of detecting submarines, per Nikkei Asia reporting, extending the country's investment in advanced unmanned and sensing technologies for maritime domain awareness. The program aligns with PM Takaichi's September 4 pledge to accelerate AI and unmanned asset integration into SDF operations. · Nikkei Asia
- INDO-PACIFIC** Japan deploys MSDF ship to Indonesia's Borneo for wildfire disaster relief — A Japanese military transport ship docked in Borneo as part of a disaster relief mission to help Indonesia combat wildfires generating toxic haze, per Washington Post and Mainichi reporting. The deployment by the MSDF vessel Kunisaki underscores Japan's humanitarian assistance and disaster relief posture in Southeast Asia. · Washington Post
- POLITICS-DIET** Japan considers accepting foreign workers in security sector — An expert panel is examining how many foreign workers Japan's security sector can accept and which security tasks can be assigned to them, reflecting the government's broader push to address labor shortages through expanded immigration. The panel's deliberations follow a separate government report that visa approvals for foreign food-sector workers remain undecided. · The Japan Times

STAT OF THE DAY

97%

Swap market probability of BOJ rate hike at Sept. 18 meeting

Swap contracts showed a roughly 97% probability the Bank of Japan will raise borrowing costs from 1% at the end of its two-day meeting on September 18, per Japan Times reporting on BOJ board member Masu's speech.

BOJ will keep raising benchmark rate to cap price trend at 2%, board member says — Japan Times

REGIONAL PRESSURE WATCH

Normal — 16 items

PM Watch: No confirmed PM appearance today · 1 day(s) since last confirmed appearance

CHINA

The JASDF scrambled fighters for a fifth consecutive day in response to Chinese reconnaissance aircraft flights near Japanese airspace, extending the most sustained aerial surveillance streak in recent weeks. China's Global Times published two pieces rebutting Australia's ambassador to Japan's remarks on China's missile buildup, framing the Australian envoy as using Cold War thinking to justify Japan's defense expansion — part of the sustained Chinese information campaign against the Japan-Australia security partnership.

NORTH KOREA

North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer carrying *88 vertical launch cells*, within roughly two months of the first commissioning, with Kim Jong Un declaring both vessels integrated into Pyongyang's nuclear response system and pledging to build a nuclear-armed navy. Chief Cabinet Secretary Kihara separately reaffirmed Japan will press the abduction issue firmly at any prospective Japan-North Korea summit.

RUSSIA

Russia's Foreign Ministry formally rejected Japan's demand to remove the Khabarovsk memorial statue depicting destruction of a Japanese imperial border marker, telling Japan to stay out of Russian internal affairs per Jiji Press reporting. Japan separately demanded correction of the Equal Earth map's depiction of the Northern Territories, adding a cartographic dimension to the ongoing summer of bilateral tension.

Senkaku / ECS: No new CCG territorial-water intrusion reported in today's articles; JASDF aerial scrambles against Chinese reconnaissance aircraft continued for a fifth consecutive day, representing the primary active pressure vector in the East China Sea.

"Japan must raise rates"

BOJ board member (unnamed in FT summary) · Japan must raise rates, central banker says — Financial Times

Bottom line: The fifth consecutive day of JASDF scrambles against Chinese reconnaissance aircraft marks the most sustained Chinese aerial surveillance pressure in recent weeks; simultaneously, North Korea's second destroyer commissioning in two months — both declared nuclear-capable — represents a structural shift in DPRK naval posture that directly affects Japan's maritime threat calculus.

○ PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER

APPROVE

DISAPPROVE

JNN · Sep 7, 2026	62.5%	34.9%
Nikkei · Sep 5, 2026	62%	32%
Asahi · Sep 5, 2026	53%	33%
ANN · Sep 5, 2026	55.4%	29.9%
Kyodo · Sep 10, 2026	50.2%	33.9%
Yomiuri · Sep 5, 2026	56%	32%
FNN · Sep 5, 2026	62.5%	32%
NHK · Sep 10, 2026	52.8%	33.2%

Discourse: The opposition Centrist Reform Alliance's formalized split on September 10 deepens the ruling LDP's structural advantage heading into the October 5 extraordinary Diet session, even as PM Takaichi's approval ratings have trended downward across multiple pollsters.

Poll tracker: [Observing Japan approval-rating aggregator](#) →

○ UPCOMING

Sep
17

Takaichi cabinet reshuffle

Prime Minister Takaichi is set to reshuffle her cabinet on September 17, with policy alignment cited as the selection criterion and one JIP member expected to join.

Sep
18

BOJ Monetary Policy Meeting concludes — rate decision expected

The Bank of Japan's two-day monetary policy meeting concludes September 18; swap markets price a roughly 97% probability of a 25bp rate hike to 1.25%, which would be the highest policy rate in 31 years.

Sep
22

PM Takaichi addresses UN General Assembly

Prime Minister Takaichi is confirmed to address the UN General Assembly on September 22 in New York; Japan is also seeking a Takaichi-Trump bilateral meeting in late September.

Sep
30

Takaichi-Trump meeting under consideration — late September window

Japan is seeking to arrange a Takaichi-Trump meeting in the United States in late September, timed around the UN General Assembly, per Kyodo reporting.

Oct
5

Extraordinary Diet session expected to open

Sources cited by Kyodo indicate an extraordinary Diet session is targeted to convene October 5, shortly after the September 17 cabinet reshuffle.

○ JAPANESE GOVERNMENT

官邸 ・ PRIME MINISTER'S OFFICE (KANTEI) ・ Minoru Kihara, Chief Cabinet Secretary

Kihara states LDP-Ishin coalition agreement needs no revision

Chief Cabinet Secretary Kihara told reporters that the coalition agreement between the LDP and Nippon Ishin no Kai requires no revision, responding to questions about the ruling coalition's composition ahead of the reshuffle.

→ [Asahi](#) ↗

官邸 ・ PRIME MINISTER'S OFFICE (KANTEI) ・ Minoru Kihara, Chief Cabinet Secretary

Kihara: Japan will address abduction issue firmly at North Korea summit

Chief Cabinet Secretary Kihara told reporters that Japan aims to address the abduction issue firmly at any prospective North Korea summit, reaffirming Tokyo's standing position that resolution of the abductions of Japanese nationals by North Korea is a prerequisite for normalized relations.

→ [Reuters](#) ↗

外務省 ・ MINISTRY OF FOREIGN AFFAIRS

Japan downgrades travel risk warnings for Israel and three other Middle East countries/regions

Japan's Foreign Ministry lowered its danger-level designations for Israel and three other Middle Eastern countries and regions, citing the US-Iran situation.

→ [Asahi](#) ↗

外務省 ・ MINISTRY OF FOREIGN AFFAIRS ・ State Minister for Foreign Affairs Kunimitsu

State Minister Kunimitsu completes visit to Bhutan

State Minister for Foreign Affairs Kunimitsu concluded a visit to the Kingdom of Bhutan, with results posted by MOFA.

→ [MOFA](#) ↗

防衛省 ・ MINISTRY OF DEFENSE

MSDF transport ship Kunisaki docks in Indonesia's Kijin Port for disaster relief

The Japan Maritime Self-Defense Force transport vessel Kunisaki arrived at Kijin Port in Indonesia as part of an international emergency relief mission to help combat wildfires causing toxic haze in Borneo.

→ [Mainichi](#) ↗

DIET SESSIONS / LDP

CENTRIST REFORM ALLIANCE / OPPOSITION

Opposition alliance formalizes split plan after merger talks fail

Japan's main opposition Centrist Reform Alliance formally agreed to dissolve and split along founding party lines after merger negotiations collapsed, deepening the opposition's disunity. The failure underscored how far Japan remains from having an effective opposition, per Kyodo reporting.

○ DIET WATCH

DIET (EXTRAORDINARY SESSION)

Extraordinary Diet session expected to open October 5

Sources cited by Kyodo News indicate Prime Minister Takaichi is eyeing October 5 as the opening date for an extraordinary Diet session, which would follow the September 17 cabinet reshuffle.

◦ BUSINESS & ECONOMY

MACRO · FT · BANK OF JAPAN

BOJ must raise rates, board member says — hawkish comments follow Bessent pressure and market volatility

The FT reports a BOJ board member stated Japan must raise rates, with the hawkish signal following public pressure from US Treasury Secretary Scott Bessent and volatility in the yen and JGB markets. BOJ Governor Ueda separately declined to comment on market pricing of a September hike.

MACRO · BLOOMBERG · BANK OF JAPAN

Bessent yen jawboning risks raising expectations BOJ cannot meet

Bloomberg analysis warns that US Treasury Secretary Scott Bessent's public advocacy for yen appreciation risks setting BOJ rate-hike expectations the Bank cannot fulfill, potentially destabilizing currency and bond markets if the September 18 move disappoints.

MACRO · BLOOMBERG

Barclays: yen may climb back toward upper 150s per dollar

Barclays strategists said the yen may appreciate back toward the upper 150s per dollar, citing BOJ rate-hike expectations and yen-supportive policy signals from the US side. USD/JPY was at 154.05 as of September 10, down 1.03% on the day.

MACRO · REUTERS

Fitch eyes Japan budget for balance between growth and fiscal discipline

Fitch Ratings said it is watching Japan's upcoming budget process for evidence of balance between economic growth and fiscal discipline, a signal that the agency is tracking fiscal risks associated with PM Takaichi's expansionary spending stance.

FINANCE · NIKKEI ASIA · PGIM

Japanese life insurers expand property investments amid inflation

Japanese life insurers are increasing allocations to real estate as an inflation hedge, per Nikkei Asia, even as rising BOJ rates increase borrowing costs across the sector. A separate Japan Times report noted that PGIM's Japanese real estate business faces a higher bar from rate hikes after decades of near-zero rates.

TECH · NIKKEI ASIA · TAMRON, SONY

Lens maker Tamron weighs Sony acquisition bid as Chinese rivals advance

Japan's Tamron is considering a bid from Sony as Chinese optics competitors gain ground, per Nikkei Asia, reflecting consolidation pressure in Japan's precision optics industry.

◦ INDO-PACIFIC

DPRK · DEFENSE EXPRESS

North Korea commissions second 88-cell destroyer; two ships in two months

North Korea commissioned the Kang Kon, its second Choe Hyon-class 5,000-tonne guided-missile destroyer carrying 88 vertical launch cells, within roughly two months of the first commissioning, with Kim Jong Un declaring both vessels part of Pyongyang's nuclear response system.

◦ THE WIRE

THE ECONOMIST

Economist: Takaichi's big-spending plans unnerving markets

The Economist examines how PM Takaichi's reflationist fiscal stance — putting the state at the centre of Japan's economy — is unsettling bond and currency markets ahead of the BOJ rate decision.

ENERGY

NIKKEI ASIA

Japan to fund overseas biofuel projects for domestic energy security

Japan plans to fund biofuel development projects abroad to secure energy supply chains at home, extending its economic security approach to the energy sector.

CHINA-JAPAN

THE JAPAN TIMES

Japan demands correction to Equal Earth map over Northern Territories depiction

Tokyo formally demanded a correction to the Equal Earth map, which uses the same color for the islands Japan calls the Northern Territories as it does for Russian territory, extending Japan's ongoing cartographic sovereignty campaign alongside its protest over the Khabarovsk statue.

KOREA-JAPAN

NIKKEI ASIA

Nikkei opinion: South Korea's AI diplomacy needs Japan in the room

An opinion piece in Nikkei Asia argues that South Korea's emerging AI diplomacy posture requires Japan as a partner, framing AI governance coordination as a new axis of Seoul-Tokyo trilateral cooperation.

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